

provisions in the California Arbitration Act apply unless the arbitration agreement expressly provides that the parties have adopted the FAA procedural rules. (*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, 644; *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 771, 775-778; *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 179.) (See also *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 394 ["Our opinion does not preclude parties to an arbitration agreement to expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law."].)

Section 16 of the FAA does not expressly state that it governs state court proceedings so, like other federal procedural rules, it is not binding on California proceedings, "provided applicable state procedures do not defeat the rights granted by Congress." (*Muao v. Grosvenor Properties, Ltd.* (2002) 99 Cal.App.4th 1085, 1091-1092, citations omitted.) A state law rule is preempted when its impact is such that it interferes with fundamental attributes of arbitration. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1144, citing *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 131 S. Ct. 1740, 1748.)

Here, the state procedure of not imposing an automatic stay when an appeal is filed after an order denying a motion to compel arbitration does appear to "defeat the rights granted by Congress." Lack of a stay here would frustrate the FAA's goal of encouraging "efficient, streamlined," speedy procedures." (See *Concepcion*, supra, 563 U.S. at 344.)

The provision of Code of Civil Procedure section 1294(a) eliminating the automatic stay on appeal of an order denying a motion to compel arbitration is not facially neutral. It is directed specifically to arbitration by creating a procedural rule that carves out an order denying arbitration from the otherwise generally applicable California procedural law. As such, it is preempted by the FAA. The general rule of Code of Civil Procedure section 916(a) applies and imposes a stay pending determination of the appeal.

B. Discretionary Stay Warranted

Even if the Court were to side with plaintiff on the issue of preemption, it has discretion to stay the action pending appeal based on the Court's inherent power to administer the cases before it. (Code Civ. Proc. § 918(a); *Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1039.)

Among other things, a discretionary stay is warranted based on the potential waste of judicial resources and based on the prejudice that both parties may suffer from the burden and expense of pursuing litigation and discovery that may have little or no value if the case is determined by the appellate court to belong in arbitration. Defendant emphasizes the broad scope of discovery requests propounded by plaintiff. (See Memorandum of Points and Authorities in Support of Motion, 11-12 ["seeking hundreds of thousands, if not millions, of documents regarding thousands of individuals dating back sixteen years"].) Defendant also highlights the potential emotional disruption to numerous contacts who have lost their loved ones. Considering that the scope of this putative class action depends on the enforceability of the arbitration provisions, the risk of wasted efforts and resources is high.

11. 9:00 AM CASE NUMBER: C24-03044
CASE NAME: MARIO BROWN VS. AUTO WAREHOUSING CO.
***HEARING ON MOTION IN RE: STAY PROCEEDINGS**
FILED BY: AUTO WAREHOUSING CO.

TENTATIVE RULING:

The unopposed motion to stay this action pending the action in federal court is granted, subject to periodic case management conferences in order to ascertain the status of the federal action. The February 11, 2026, case management conference will remain on calendar.

12. 9:00 AM CASE NUMBER: JCCP5421

CASE NAME: PUBLIC HEALTH FOUNDATION WAGE AND HOUR CASES

***HEARING ON MOTION IN RE: COORDINATION OF CASES SET BY THE DEPARTMENT**

FILED BY:

TENTATIVE RULING:

Petitioner Alicia Stephens petitions for coordination of the following actions: (1) *Stephens v. Public Health Foundation Enterprises, Inc.*, Class Case No. 25STCV13543 (lead case) (“*Stephens Class Action*”); (2) *Stephens v. Public Health Foundation Enterprises, Inc.*, AGA Case No. 25PSCV02587 (“*Stephens PAGA Action*”) pending in Los Angeles County Superior Court, Spring Street Courthouse (collectively, referred to as “*Stephens Actions*”); (3) *Kizart v. Public Health Foundation Enterprises, Inc.*, Case No. C24-03522 pending in Contra Costa County Superior Court

For the reasons set forth below, the petition for coordination is **denied** without prejudice. In the event the pending settlement in *Kizart* is not approved, then the Court will consider a renewed petition.

Brief Factual and Procedural Background

Kammure Kizart filed the instant PAGA suit, Contra-Costa Case No. C24-03522, on December 26, 2024 after noticing the suit before the LWDA on October 21, 2024. The Kizart Complaint seeks PAGA civil penalties for Defendant’s alleged violation of California Labor Code sections: (a) 510 and 1198 (unpaid overtime); (b) 1182.12, 1194, 1197, 1197.1, and 1198 (unpaid minimum wages); (c) 512(a), 516, and 1198 (failure to provide meal periods); (d) 226.7, 516, and 1198 (failure to authorize and permit rest periods); (e) 226(a), 1174(d), and 1198 (non-compliant wage statements and failure to maintain accurate payroll records); (f) 227.3 (failure to pay vested vacation wages); (g) 204 (failure to timely pay wages during employment); (h) 201 and 202 (failure to timely pay final wages upon termination); and (i) 2802 (unreimbursed business expenses).

On May 8, 2025, Petitioner Alicia Stephens submitted a notice to the Labor and Workforce Development Agency (“LWDA”) alleging violations of the California Labor Code by Defendant Public Health Foundation Enterprises, Inc. On May 8, 2025, Petitioner filed her Class Action Complaint against Defendant Public Health Foundation Enterprises, Inc., seeking damages for violations of the California Labor Code. The Class Action Complaint includes allegations against Defendant for violations of the California Labor Code for (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) wages not timely paid during employment; (7.) non-compliant wage statements; (8) failure to keep requisite payroll records; (9.) unreimbursed business expenses; and (10) violation of California Business and Professions Code section 17200, et seq.

On July 14, 2025, Petitioner filed a separate Complaint for Enforcement under the Private Attorneys General Act, California Labor Code § 2698, Et Seq., Case No. 25PSCV02587 against Defendant Public Health Foundation Enterprises, Inc. The allegations include (1) failure to pay overtime, (2) failure to provide meal periods, (3) failure to provide rest periods, (4) failure to pay minimum wages, (5) failure to timely pay wages upon termination, (6) failure to timely pay wages during employment, (7) failure